COMMUNITY SCHEMES OMBUD SERVICE

CASE NO: 518005

DAVID ROBERT LEWIS

Applicant

and

SORALIA VILLAGE HOME OWNERS ASSOCIATION

Respondent

APPLICANT'S FINAL SUBMISSION

Following Conciliation Session and Referral to Adjudication

Date: 24 September 2026

1. PURPOSE OF THIS SUBMISSION

This final submission is filed following the conciliation session held on 23 September 2026, at which the parties were unable to reach agreement and the matter was referred to adjudication. The Applicant uses this opportunity to consolidate and sharpen the central legal arguments, to address matters that arose at conciliation, and to draw the adjudicator's attention to a constitutional conflict in the HOA's own governing documents that goes to the heart of the Respondent's authority to charge collection fees at all.

The Applicant maintains all relief sought in the original complaint and the written reply. This submission adds further elaboration on three matters: (1) the conciliation session itself; (2) the unlawful dual capacity in which Trafalgar operates; and (3) the direct conflict between clause 7.6.8 of the Constitution and the Hand Over Resolution (Annexure C to the Respondent's submission).

2. THE CONCILIATION SESSION

At the conciliation session, the Respondent maintained the following positions:

(a) That Trafalgar is a registered debt collector and that this registration is sufficient basis for charging collection fees;

(b) That the basis for levying such fees resides in the original management contract between the HOA and Trafalgar;

(c) That the Hand Over Resolution dated 15 July 2026 (Annexure C) operates retrospectively to authorise fees charged in May and June 2026; and

(d) That the Applicant's formal written dispute of 18 June 2026 did not suspend the accrual of collection fees.

The Respondent then offered to reduce the disputed fees by 50% in settlement.

The Applicant rejected this offer. The reasons are material to the adjudication:

(a) An offer to reduce a charge by 50% is an implicit concession that the charge as levied is not fully defensible. A party that is confident its fee is lawfully calculated at 10% of the instalment received — as item 9 of Annexure B prescribes — does not offer to halve it. The offer reveals that Trafalgar has no principled basis for the exact amount charged and is willing to accept an arbitrary reduction to avoid adjudication. This is inconsistent with a lawfully calculated, tariff-based fee.

(b) A 50% reduction still leaves the Applicant paying a fee that has not been shown to correspond to any item in Annexure B, calculated against any disclosed instalment amount, under any identified tariff. Accepting it would legitimise a charging practice that is unlawful in principle, not merely excessive in quantum.

(c) The Applicant is not the only owner on whose account these fees have been charged. Accepting a private settlement would leave all other owners exposed to the same unlawful practice without any determination of its legality.

The Applicant notes for the record that the Respondent's refusal to concede even the prospective-only effect of the 15 July 2026 resolution — despite the Respondent's own paragraph 23 of the written submission acknowledging that pre-15 July fees "must still be supported by the authority and tariff applicable at that earlier date" — suggests the position taken at conciliation was inconsistent with the position taken in writing. The adjudicator is respectfully invited to note this inconsistency.

3. THE DUAL CAPACITY PROBLEM — A STATEMENT OF THE APPLICANT'S POSITION

The Respondent's assertion at conciliation that registration as a debt collector is sufficient basis for charging collection fees conflates two distinct questions: whether Trafalgar is entitled to act as a debt collector in general, and whether it was lawfully acting in that capacity in respect of the Applicant's specific account at the time each fee was charged.

The Applicant's position is as follows, in layered order:

3.1 As Managing Agent, Trafalgar May Only Administer

When Trafalgar acts in its capacity as managing agent for the HOA, it administers the Applicant's levy account: it raises levies, records payments, issues statements, and performs the administrative functions set out in the management agreement. These functions are remunerated through the management fee, and clause 2.1 of the management agreement expressly states that levy collection costs are already included in that fee.

In this capacity, Trafalgar is bound by the HOA's Constitution and may not act beyond the powers the Constitution confers. Its administrative functions are those of an agent acting within a defined mandate — not those of an independent debt collector.

3.2 The Debt Collector Capacity is a Separate, Conditional Status

Trafalgar's registration as a debt collector with the Council for Debt Collectors does not automatically activate debt collection rights in respect of every levy account it administers. Registration establishes eligibility — it does not constitute a mandate. The Debt Collectors Act section 8 requires a written mandate from the creditor (the HOA) to collect a specific debt before Trafalgar may act as a debt collector in respect of that debt and charge Annexure B fees.

The dual capacity — managing agent and debt collector — is therefore not a permanent combined status. It is a status that shifts account by account, depending on whether the prerequisites for activation of the debt collector role have been satisfied in respect of each individual account. For the Applicant's account in May and June 2026, they were not.

3.3 The Constitutional Prerequisites Must Be Satisfied Before the Mandate Can Issue

Before the HOA committee can issue a valid mandate to Trafalgar as debt collector in respect of any owner's account, the Constitution's own prerequisites must be met. Clause 8.6 provides:

> ***Clause 8.6:*** *"The committee may handover any debt due to the committee to the committee's attorneys, or debt collectors, for collection if the debt is outstanding for more than 30 (Thirty) days."*

Two conditions are expressed: (a) the debt must be outstanding for more than 30 days; and (b) the committee must decide to hand it over ("may handover" — a discretionary committee act, not an automatic administrative trigger). Only once both conditions are satisfied does the committee have power to issue a mandate to Trafalgar. Without that mandate, Trafalgar has no debt collector authority in respect of the Applicant's account, and no Annexure B fee is recoverable.

The sequence that must precede any lawful Annexure B charge is therefore:

Step 1: A specific amount must have been outstanding and unpaid for more than 30 days (clause 8.6 of the Constitution)

Step 2: The committee must have made an active decision to hand over that specific account (clause 8.6 — discretionary committee act)

Step 3: Clause 7.6.8 additionally requires committee approval for each routine recovery action (see section 4 below)

Step 4: A written mandate must have been issued to Trafalgar in its debt collector capacity (DCA section 8)

Step 5: The collection activity giving rise to the fee must have occurred after the mandate issued (DCA — no retrospective fees)

Step 6: The fee must correspond to a specific Annexure B item under the applicable tariff (DCA Regulation 11 and Annexure B)

Step 7: No additional fee may be charged on the same payment occasion as a receipting fee (Annexure B item 9 proviso)

None of Steps 1 through 5 have been demonstrated for the May and June 2026 fees. Step 5 is conceded by the Respondent's own written submission at paragraph 23. The management contract relied upon at conciliation cannot substitute for these constitutional and statutory prerequisites — a private contract between the HOA and Trafalgar cannot override the Constitution or the DCA.

4. THE HAND OVER RESOLUTION IS ULTRA VIRES THE CONSTITUTION

The Applicant submits that the Hand Over Resolution (Annexure C) is not merely insufficient to authorise the disputed fees — it is constitutionally void on its face, for two independent reasons.

4.1 It Conflicts with Clause 7.6.8 of the Constitution

Clause 7.6.8 of the Constitution provides:

> ***Clause 7.6.8:*** *"To sue and defend actions in the name of the association and to appoint legal representatives for this purpose subject thereto that 75% (seventy five percent) of the quorum of members present at a special general meeting called upon for this purpose, vote in favour thereof; with the EXCEPTION that, after approval of the Homeowner's Association committee, any normal legal routine action required shall be taken for the recovery of overdue, unpaid amounts owing to the Homeowner's Association in respect of levies, water levies, special levies, fines and/or any other unpaid items, plus interest thereon, which have been lawfully imposed by the Homeowner's Association."*

This clause establishes a two-tier system for legal recovery:

(a) The general rule: a 75% majority of a quorum at a special general meeting is required before the HOA may sue or appoint legal representatives.

(b) The exception for routine debt recovery: the committee may approve routine legal recovery actions without a member meeting — but the approval must be given by the committee for each such action. The phrase "after approval of the Homeowner's Association committee" is a mandatory prerequisite attached to the exception, not an optional procedural step.

The Hand Over Resolution (Annexure C, clause 2) directly conflicts with this by granting Trafalgar "complete discretion" to handover accounts and by authorising Trafalgar to "pay any and/or all legal fees and disbursements raised by the attorneys handling the collection process, on the HOA's behalf, monthly, without the HOA needing to provide Trafalgar with a resolution for each legal invoice or disbursement to be paid."

This is precisely the per-case committee approval that clause 7.6.8 requires — and the resolution expressly eliminates it. The resolution does not complement clause 7.6.8; it overrides it. A trustee resolution cannot override an express provision of the Constitution. Under clause 7.1, the committee's powers are exercisable "subject to the express provisions of these presents." A resolution that contradicts an express constitutional provision is ultra vires and void.

4.2 It Impermissibly Delegates Trustee Fiduciary Responsibilities to a Third Party with a Conflicting Financial Interest

Clause 7.6.8 requires committee approval for each routine recovery action. That requirement exists for a reason: it ensures that elected trustees — who owe fiduciary duties to all members — actively review each case before the HOA incurs collection and legal costs in its name. The trustees must weigh the cost of collection against the amount recoverable, the circumstances of the individual owner, the HOA's resources, and its obligations to its members.

The Hand Over Resolution eliminates this review by delegating "complete discretion" to Trafalgar — a commercial entity with a direct financial interest in maximising collection activity, since every account it treats as handed over generates Annexure B fee income for Trafalgar. This creates an acute conflict of interest: Trafalgar profits from each account it declares in collection, regardless of whether the HOA's interests are served by that collection step.

A trustee who delegates their fiduciary judgment to a conflicted third party, and who authorises that party to incur costs on the HOA's behalf without individual approval, is not fulfilling their fiduciary duty — they are abdicating it. The blanket delegation in Annexure C accordingly tests, and in the Applicant's submission crosses, the boundaries of trustee fiduciary responsibility under both the common law and the HOA's own governing documents.

4.3 The Consequence: No Valid Mandate Existed

If the Hand Over Resolution is void — because it conflicts with clause 7.6.8 and impermissibly delegates fiduciary responsibilities — then no valid mandate was ever issued to Trafalgar as debt collector in respect of the Applicant's account. The resolution is the only document the Respondent relies upon as authority for the collection fees (having abandoned the Solaris Place resolution). Without a valid mandate, Trafalgar was acting in its managing agent capacity only when it charged the disputed fees, and no Annexure B fee was recoverable.

The Respondent's assertion at conciliation that the original management contract provides the basis for the fees does not assist: a management contract cannot confer debt collector powers that the DCA requires to be activated by a specific, valid mandate; and it cannot override the constitutional requirements of clause 7.6.8 or clause 8.6.

5. TRAFALGAR'S CONDUCT DEMONSTRATES IT HAS NO INTENTION OF FOLLOWING DUE PROCESS

The Applicant submits that the pattern of conduct in this matter demonstrates that Trafalgar does not intend to follow the procedural requirements of the DCA or the Constitution, but treats collection fees as automatic administrative charges to be applied to all accounts as a matter of course:

> (a) The "automatic by the 7th" position — asserted in writing and only abandoned when challenged — shows the fees were never tied to a specific mandate or a specific account-by-account committee decision;
>
> (b) The provision of documents from an entirely different scheme (Solaris Place) as purported authority for fees on the Applicant's account — and the insistence that those documents were correct despite the evident mismatch — demonstrates either recklessness about procedural accuracy or a practice of using standard-form documents interchangeably across schemes without verifying their applicability;
>
> (c) The Hand Over Resolution dated 15 July 2026 — passed on the same day as the Letter of Demand, six weeks after the Applicant's formal dispute letter, and expressly designed to eliminate the per-case committee approval required by clause 7.6.8 — was passed reactively in response to this dispute, not prospectively as a governance measure. The retroactive ratification clause in the Interest Resolution compounds this;
>
> (d) At conciliation, Trafalgar maintained that the 15 July resolution operates retrospectively despite its own written submission conceding the contrary. This suggests the position taken at conciliation was adopted for settlement purposes rather than reflecting a genuine legal view;
>
> (e) The offer to reduce fees by 50% — without any explanation of what principled basis justifies either the full amount or the reduced amount — confirms that the fee is not calculated by reference to any tariff item or collection activity. It is a negotiating position, not a fee schedule.

Taken together, this conduct demonstrates a systemic practice of charging collection fees as automatic administrative revenue, without any genuine attempt to satisfy the constitutional or

statutory prerequisites for debt collection activity. The adjudicator is respectfully invited to take this pattern into account when determining the appropriate order.

6. THE STSMA CONCESSION DOES NOT AFFECT THESE ARGUMENTS

The Applicant has previously conceded that the STSMA prescribed Management Rule 25(1) does not apply to this common-law HOA. That concession does not affect any of the arguments in this submission, which rest entirely on:

(a) The Debt Collectors Act 114 of 1998 and its Annexure B tariff — which apply to all registered debt collectors regardless of the type of community scheme;

(b) The Constitution and Rules of the Soralia Village Homeowner's Association (Amended 2018) — specifically clauses 7.6.8, 8.6, and 8.8; and

(c) The common law of fiduciary duty and ultra vires acts applicable to HOA committees.

None of these frameworks require the STSMA to apply. The STSMA concession was correctly made and is maintained. The Applicant's position on all other grounds is unaffected.

7. RELIEF MAINTAINED AND AMPLIFIED

The Applicant maintains all relief sought in the original complaint and the written reply. In addition, arising from the matters set out in this final submission, the Applicant requests:

1. A determination that the Hand Over Resolution dated 15 July 2026 (Annexure C to the Respondent's submission) is ultra vires the Constitution of the Soralia Village Homeowner's Association, being in direct conflict with clause 7.6.8, which requires committee approval for each routine recovery action and does not permit that approval to be delegated in blanket terms to a third party;
2. A determination that the impermissible delegation of "complete discretion" to Trafalgar under the Hand Over Resolution, in circumstances where Trafalgar has a conflicting financial interest in maximising collection activity, constitutes a breach of the fiduciary duties of the trustees who signed the resolution;
3. An order that, in consequence of the above, no valid mandate was issued to Trafalgar as debt collector in respect of the Applicant's account for the period in which the disputed fees were charged, and that all collection fees charged pursuant to that resolution be reversed;
4. An order that any future handover of the Applicant's account for debt collection may only occur after: (a) the specific debt has been outstanding and unpaid for more than 30 days (clause 8.6); (b) the HOA committee has made an active, minuted decision to hand over the specific account (clauses 8.6 and 7.6.8); and (c) a written mandate specific to the account has been issued to Trafalgar under section 8 of the DCA;
5. A determination that the conciliation offer to reduce the disputed fees by 50% — made without identifying any principled basis for either the original or the reduced amount — constitutes an implicit acknowledgment that the fees as charged are not fully defensible and should be weighed accordingly in the adjudication; and
6. Such further or alternative relief as the adjudicator considers appropriate, including referral of the systemic practice to the Council for Debt Collectors.

8. DECLARATION

I, David Robert Lewis, declare that the contents of this final submission are true and correct to the best of my knowledge and belief.

Signed:



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David Robert Lewis

Date: 24 September 2026

Place: Muizenberg, Cape Town

Account: S171817 | Case No: 518005